



Risk Register 2021

Thames Water UPS (Closed Section)

Funding Risks

Risk	Likelihood	Impact	Score	Owner
Adverse investment returns relative to liabilities	Low-Med	High	9	Sponsor
Interest rate and inflation movements	Low	High	8	Investment Cttee
Longevity improvements beyond assumptions	Med-High	High	14	Administrator
Member option take-up variations	Low	High	10	Trustee

Mitigating actions are documented in the Risk Appetite Statement. The Trustee reviews risks at each quarterly meeting and performs a full risk-register refresh annually.

Covenant Risks

Risk	Likelihood	Impact	Score	Owner
Sponsor financial deterioration	Med-High	Medium	10	Sponsor
Corporate restructuring or disposal	Med-High	High	12	Trustee
Dividend policy changes	Med-High	Med-High	6	Trustee

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Investment Risks

Risk	Likelihood	Impact	Score	Owner
Counterparty failure in LDI arrangements	Med-High	High	6	Sponsor
Liquidity shortfall under stress	Low	Med-High	11	Trustee
Manager underperformance	Med-High	Medium	11	Trustee

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Operational Risks

Risk	Likelihood	Impact	Score	Owner
Administrator errors or delays	Medium	Medium	12	Administrator
Data quality degradation	Med-High	Medium	11	Administrator
Cyber and information security	Low-Med	Med-High	4	Investment Ctte

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Legal & Regulatory Risks

Risk	Likelihood	Impact	Score	Owner
GMP conversion complexity	Low-Med	Med-High	7	Sponsor
Changes to tax regime for pensions	Low	Medium	12	Investment Ctte
New Funding Code compliance	Low-Med	Med-High	11	Sponsor

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Member Outcomes Risks

Risk	Likelihood	Impact	Score	Owner
Member communications breakdowns	Low	Med-High	5	Sponsor
Complaints and IDRP escalations	Med-High	High	7	Sponsor
Safeguarding vulnerable customers	Medium	High	11	Administrator

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Transaction Risks

Risk	Likelihood	Impact	Score	Owner
BPA pricing volatility	Low-Med	Med-High	13	Investment Ctte
Insurer capacity and selection	Med-High	Medium	15	Investment Ctte
Transfer documentation errors	Low	Medium	6	Administrator

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Climate Risks

Risk	Likelihood	Impact	Score	Owner
Transition risk on strategic allocation	Low	High	4	Sponsor
Physical risk on property holdings	Low	Med-High	10	Trustee
TCFD reporting completeness	Medium	Med-High	15	Trustee

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Governance Risks

Risk	Likelihood	Impact	Score	Owner
Trustee board composition and skills	Medium	High	14	Sponsor
Adviser rotation and independence	Low-Med	Medium	10	Sponsor
Conflict of interest management	Medium	High	11	Sponsor

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